

COMMERCIAL LIFE-SCIENCES LEAN-IN SCREEN

2026-09-04 · Principal-mandated. Systematic IPO-vintage leg (1,230 424B4 filers → 208 life-sci SIC → 13 with TTM ≥\$100M, audited XBRL); drawdown leg hand-built (~70 tickers vs live tape — the stated coverage limit). All five flagged names enqueued at **SCIENCE** stage same-day.

Method note that became a detector: the screen's first pass summed the last four quarterly XBRL facts — which silently skips Q4 (no Q4 10-Q exists) and inflates growth. Corrected via Q4 = FY – Q1..Q3 with contiguity enforcement; INSP/ADMA/OPCH/ARDT/FLGT all flipped from pass to FAIL. Authored to the graph as `xbrl_ttm_q4_derivation_trap`.

Structural read: diagnostics is already bid (CDNA/NEO/GH/NTRA/GKOS at or near highs; XBI +38% off March lows, 3.8% off its high). The surviving dislocations are in **post-IPO supply** and **device/specialty-pharma guidance resets**.

THE FIVE COURTED (all at SCIENCE stage now)

1. **COLL** (\$0.79B, \$808M +14.3%) — the only name AT its 52-week low (+2.4% off), ~1.0x sales / 4.1x EV/EBITDA. The 8/6 –18.6% session hit a product that is 25% of revenue and already eroding; ~75% sits behind 2030–37 patents. Dated binary: Belbuca '539 trial 2027-04-12. Science question: is Xtampza's –14.5% (no patent issue) rebate pressure or volume?
2. **ATEC** (\$1.45B, \$815M +19.5%) — re-courted on fresh evidence: –60% drawdown while gross profit compounds FASTER than revenue (+260bp margin); both gaps were guidance-shape. Covenant first tested **9/30** (near-dated). Science question: ASP –2.5–3% — competition or mix? Legacy 550@9.00 GTC rests; new court must ratify or pull it.
3. **MED** (\$6.6B, \$3.1B +14.3%) — the cleanest dated mechanical: Medtronic retains **90.03% (252.8M shares)**, **standstill expired 9/1**, Section 355 split-off intended, undated, unfiled. FLOW GATE HARD: at the 52w high, +121% off low — bands below only, never front-run the stake. Science: Convatec sole-supplier infusion sets under an unresolved FDA warning letter (DKA- linked leaks); Abbott CGM deal excludes dual glucose-ketone sensors.
4. **BLLN** (\$4.7B, \$397M +87%) — the CAI structural twin with the sweep's sharpest takeaway-vs-data divergence: marketed +64%/durable/reiterated vs **+0.9% sequential**, prenatal down, op income –69%, \$12M prior-period catch-up, CEO's largest sale at the print-day top tick, float 5.2M→45M, no shelf. Courted BOTH directions (short-court gates apply; RV 118 vs IV 61 — chain-verify). Decisive science: UNITY has NO ADLT status; Northstar Response NOT covered; ASPs <50% of CLFS — rate reset vs panel mix is knowable from CMS files.
5. **TMDX** (\$3.0B, \$668M +25.8%) — the de-rate prices a DOJ investigation that has **zero footprint in the filings** (stale Scorpion allegation) and an aviation drag the margins refute (service GM at all-time high). Real defect: unremediated ICFR inventory weakness — cheaper

than what's priced. IV at its 5th percentile → long-convexity candidate, chain-verify first; Q4-25 EPS optics trap (\$103M tax release) flagged for every comp.

RANKED 6–10 (courttable later)

WAY (sponsor overhang ~35.6% still to come) · TEM (de-rate partly closed, +58% off low, heavy insider cadence) · BTSG (KKR overhang CLEARED, 0.8x sales) · OMDA (lockup cliff absorbed, no shelf; rev/member only +2%) · HTFL (Bain cleared; CPT 75577 tailwind; at highs — flow gate).

PORTFOLIO-LEVEL FINDINGS

- **No short-vol setup exists in the cohort:** 13 of 19 names have IV BELOW realized; the SLS-class dislocation returns empty. Long convexity (TMDX, BLLN) is the live idea instead.
- Index-migration forced selling (INSP → R2000) is done, not pending.

NOTABLE EXCLUSIONS (reasons recorded so they are not re-screened)

INSP +4.3% growth-fail + DOJ/AKS investigation on the exact cut subject (RP_TAINTED) · ADMA growth-fail + guidance withdrawn 68 days post-reiteration + CFO exit + class action (RP_TAINTED) · OPCH gross-profit dollars negative, attrition not mix · PAHC organic +5.5% vs +17.1 headline (best masking catch of the sweep) · RARE excluded on mandate (science-prediction; royalties pre-sold: 100% EU Crysvita, \$(291)M stockholders' deficit; UX111 PDUFA 9/19) · **FLGT routed to deep_value** (mcap \$540M vs \$551M cash+securities + \$110.6M refund, 0.68x TBV, buying back hard) · MDLN ~\$7.5B distributed in 5 months, sponsors still hold 13.4x the last deal · BBNX #11.

COVERAGE LIMITS (no silent caps)

IPO leg systematic; drawdown leg hand-built (largest limit — a 30%-off name outside the ~70 checked would be missed; systematic drawdown leg = build ticket); SIC filter misses non-life-sci-coded issuers (TEM/WAY/BTSG added by hand); ipo_lockup_supply_registry ran by hand via Form 144/Form 4 cadence (build ticket promoted); named unverifiabes per candidate retained in the session record.